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ECO401 Final Term Papers By Waqar (File 3)

Question No : 1 of 60 Marks: 1 (Budgeted Time 1 Min)

The price elasticity of demand measures the responsiveness of quantity demanded to:

Answer (Please select your correct option)

- ☐ Quantity demanded.
- ☐ Quantity supplied.
- ☐ Price.
- ☐ Output.

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Question No : 2 of 60 Marks: 1 (Budgeted Time 1 Min)

A production function:

Answer (Please select your correct option)

- ☐ Relates inputs with output.
- ☐ Generates a curve that is upward sloping.
- ☐ Shows diminishing marginal product of an input, since it gets flatter as output rises.
- ☐ All of the given options.

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Examination VU Examination System (... X)

Question No : 3 of 60 Marks: 1 (Budgeted Time 1 Min)

Diminishing marginal returns implies:

Answer (Please select your correct option)

- ☐ Decreasing marginal costs.
- ☐ Increasing marginal costs.
- ☐ Decreasing average variable costs.
- ☐ Decreasing average fixed costs.

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Examination VU Examination System (... X)

Question No : 4 of 60 Marks: 1 (Budgeted Time 1 Min)

Welfare economics is the branch of economics which deals with:

Answer (Please select your correct option)

- ☐ Positive issues.
- ☐ Normative issues.
- ☐ Micro issues.
- ☐ Macro issues.

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Examination VU Examination System (... X)

Question No : 5 of 60 Marks: 1 (Budgeted Time 1 Min)

The kinked demand curve model is based on which of the following assumptions?

Answer (Please select your correct option)

- ☐ Each firm considers its rival's output to be fixed.
- ☐ Each firm considers its rival's price to be fixed.
- ☐ Each firm believes rivals will match all price changes.
- ☐ None of the given options.

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Examination VU Examination System (... X)

Question No : 6 of 60 Marks: 1 (Budgeted Time 1 Min)

Keynesian economics rejected the classical assumption that:

Answer (Please select your correct option)

- ☐ Supply creates its own demand.
- ☐ Prices and wages are inflexible.
- ☐ Self-correction takes a long time.
- ☐ Consumption expenditures depend on disposable income.

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Question No : 7 of 60 Marks: 1 (Budgeted Time 1 Min)

A new skills training initiative is aimed at increasing the ability of those out of work to take the jobs on offer in a rapidly changing environment shows:

Answer (Please select your correct option)

- ☐ Frictional Unemployment.
- ☐ Structural Unemployment.
- ☐ Demand Deficient Unemployment.
- ☐ Real Wage Unemployment.

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Question No : 8 of 60 Marks: 1 (Budgeted Time 1 Min)

The labour force is made up of:

Answer (Please select your correct option)

- ☐ The number of people employed minus the number of people unemployed.
- ☐ The number of people employed plus the number of people unemployed.
- ☐ Just the number of people employed.
- ☐ The whole population.

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Question No : 9 of 60 Marks: 1 (Budgeted Time 1 Min)

Current account deficit is equal to:

Answer (Please select your correct option)

- ☐ Private sector resource deficit.
- ☐ Government budget deficit.
- ☐ Private sector resource deficit + Government budget deficit.
- ☐ None of the given options.

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Question No : 10 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is the narrowest and most traditional definition of money?

Answer (Please select your correct option)

- ☐ M1.
- ☐ M2.
- ☐ M3.
- ☐ M4.

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Question No : 11 of 60 Marks: 1 (Budgeted Time 1 Min)

All of the following conditions lead to the successful operation of a cartel EXCEPT:

Answer (Please select your correct option)

- ☐ Market demand for the good is relatively inelastic.
- ☐ The cartel supplies all of the world's output of the good.
- ☐ Cartel members have substantial cost advantages over non-member producers.
- ☐ The supply of non-cartel members is very price elastic.

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Question No : 12 of 60 Marks: 1 (Budgeted Time 1 Min)

Those who hold the classical view of the labour market are likely to believe that:

Answer (Please select your correct option)

- ☐ Monetary but not fiscal policy will have an effect on output and employment.
- ☐ Fiscal but not monetary policy will have an effect on output and employment.
- ☐ Both monetary and fiscal policy will have an effect on output and employment.
- ☐ Neither monetary nor fiscal policy will have an effect on output and employment.

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Question No : 13 of 60 Marks: 1 (Budgeted Time 1 Min)

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

Answer (Please select your correct option)

- ☐ Both prices and output to rise.
- ☐ Prices to fall and output to remain unchanged.
- ☐ Both prices and output to fall.
- ☐ Prices to rise and output to remain unchanged.

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Question No : 14 of 60 Marks: 1 (Budgeted Time 1 Min)

The total expenditures in an economy are not equal to total income in which of the following cases?

Answer (Please select your correct option)

- ☐ If total saving is larger than total investment.
- ☐ If net exports are not zero.
- ☐ If inventory investment is negative.
- ☐ None of the given options.

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Question No : 15 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is NOT included in National income?

Answer (Please select your correct option)

- ☐ Profits and rents.
- ☐ Wages and salaries.
- ☐ Interest on capital.
- ☐ Transfer incomes.

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Question No : 16 of 60 Marks: 1 (Budgeted Time 1 Min)

Public education creates:

Answer (Please select your correct option)

- ☐ Asymmetric information.
- ☐ External costs.
- ☐ Internal costs.
- ☐ External benefits.

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Question No : 17 of 60 Marks: 1 (Budgeted Time 1 Min)

The unemployed individuals are those who are:

Answer (Please select your correct option)

- ☐ Not currently working but are actively looking for work.
- ☐ Working but looking for a different job.
- ☐ Not currently working.
- ☐ Working less than their desired amount of time.

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Question No : 18 of 60 Marks: 1 (Budgeted Time 1 Min)

In the equation of exchange, if velocity is stable in the long run then:

Answer (Please select your correct option)

- ☐ $\% \Delta V = 0$.
- ☐ $\% \Delta V = 1$.
- ☐ $\% \Delta V$ is a positive constant value > 0 .
- ☐ $\% \Delta V = \text{infinity}$.

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Question No : 19 of 60 Marks: 1 (Budgeted Time 1 Min)

Most nations of the world are:

Answer (Please select your correct option)

- ☐ Closed economies.
- ☐ Open economies.
- ☐ Self sufficient.
- ☐ Non trading nations.

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Question No : 20 of 60 Marks: 1 (Budgeted Time 1 Min)

The decrease in the price of one country's currency in terms of other currencies due to the market forces of demand and supply is known as:

Answer (Please select your correct option)

- ☐ Revaluation.
- ☐ Devaluation.
- ☐ Appreciation.
- ☐ Depreciation.

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Question No : 20 of 60 Marks: 1 (Budgeted Time 1 Min)

The decrease in the price of one country's currency in terms of other currencies due to the market forces of demand and supply is known as:

Answer (Please select your correct option)

- ☐ Revaluation.
- ☐ Devaluation.
- ☐ Appreciation.
- ☐ Depreciation.

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Question No : 21 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following best describes the economic growth?

Answer (Please select your correct option)

- ☐ An increase in aggregate demand which causes a movement along the short-run aggregate supply curve.
- ☐ Continuous outward shift of aggregate demand.
- ☐ A long term expansion of a country's potential GDP.
- ☐ The avoidance of a negative output gap.

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Question No : 22 of 60 Marks: 1 (Budgeted Time 1 Min)

The government has a budget deficit if:

Answer (Please select your correct option)

- ☐ Its total revenues are equal to its total expenditures.
- ☐ Its total revenues are less than its total expenditures.
- ☐ Its total revenues are greater than its total expenditures.
- ☐ The money supply is less than total expenditures.

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Question No : 23 of 60 Marks: 1 (Budgeted Time 1 Min)

A tax on individual's income is known as:

Answer (Please select your correct option)

- ☐ Sales tax.
- ☐ Excise tax.
- ☐ Corporate income tax.
- ☐ Personal income tax.

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Question No : 24 of 60 Marks: 1 (Budgeted Time 1 Min)

The item which serves as a medium of exchange is known as:

Answer (Please select your correct option)

- ☐ Gold.
- ☐ Capital.
- ☐ Silver.
- ☐ Money.

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Question No : 25 of 60 Marks: 1 (Budgeted Time 1 Min)

In which of the following conditions, a welfare loss occurs in monopoly?

Answer (Please select your correct option)

- ☐ Where the price is greater than the marginal cost.
- ☐ Where the price is greater than the marginal benefit.
- ☐ Where the price is greater than the average revenue.
- ☐ Where the price is greater than the marginal revenue.

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Question No : 26 of 60 Marks: 1 (Budgeted Time 1 Min)

Assume that there is no government or foreign sector, if the marginal propensity to save (MPS) is 0.2, then the value of saving multiplier will be equal to:

Answer (Please select your correct option)

- ☐ 0.80
- ☐ 1.20
- ☐ 0.50
- ☐ 1.25

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Question No : 27 of 60 Marks: 1 (Budgeted Time 1 Min)

If there is an excess demand for dollars in the market then it will:

Answer (Please select your correct option)

- ☐ Pushes the exchange rate up.
- ☐ Pushes the exchange rate down.
- ☐ Not affect the exchange rate.
- ☐ Increase poverty.

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Question No : 28 of 60 Marks: 1 (Budgeted Time 1 Min)

A process by which money is created is called:

Answer (Please select your correct option)

- ☐ Credit rationing.
- ☐ Credit expansion.
- ☐ Credit creation.
- ☐ None of the given options.

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Question No : 29 of 60 Marks: 1 (Budgeted Time 1 Min)

Money demand decreases when interest rate:

Answer (Please select your correct option)

- ☐ Increases.
- ☐ Decreases.
- ☐ Remains the same.
- ☐ All of the given options.

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Question No : 30 of 60 Marks: 1 (Budgeted Time 1 Min)

If the exchange rate is fixed, expansionary fiscal policy would not have any:

Answer (Please select your correct option)

- ☐ Investment multiplier effect.
- ☐ Crowding out effects.
- ☐ Government spending effect .
- ☐ None of the given options.

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Question No : 31 of 60 Marks: 1 (Budgeted Time 1 Min)

The concave shape of the production possibilities frontier (PPF) illustrates:

Answer (Please select your correct option)

- ☐ Increasing opportunity cost.
- ☐ Decreasing opportunity cost.
- ☐ Constant opportunity cost.
- ☐ Zero opportunity cost.

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Question No : 32 of 60 Marks: 1 (Budgeted Time 1 Min)

Price of rice (per bag)	Quantity demanded of rice by Rabia	Quantity demanded of rice by Ali	Quantity demanded of rice by Ahmad
90	10	0	60
80	15	10	80
70	20	20	100

Answer (Please select your correct option)

☐ The law of demand

☐ The law of supply

☐ An increase in his income

☐ A change in his taste and preferences

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Question No : 33 of 60 Marks: 1 (Budgeted Time 1 Min)

Demand is said to be price inelastic if a 20 percent change in the price of a good results in a percentage change (in absolute value terms) in quantity demanded that is:

Answer (Please select your correct option)

☐ Less than 0.

☐ Greater than 0 but less than 20.

☐ Equal to 20.

☐ Greater than 10.

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Question No : 34 of 60 Marks: 1 (Budgeted Time 1 Min)

Suppose the total utility derived from first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?

Answer (Please select your correct option)

☐ 10.

☐ 13.

☐ 20.

☐ 33.

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Question No : 35 of 60 Marks: 1 (Budgeted Time 1 Min)

The correlation between an asset's real rate of return and its risk (as measured by its standard deviation) is usually:

Answer (Please select your correct option)

☐ Positive.

☐ Strictly linear.

☐ Flat.

☐ Negative.

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Question No : 36 of 60 Marks: 1 (Budgeted Time 1 Min)

Suppose that the total utilities corresponding to the first five units of a good consumed are 14, 20, 25, 29, and 32, respectively. The marginal utility of the third unit is:

Answer (Please select your correct option)

☐ 5.

☐ 6.

☐ 20.

☐ 25.

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Question No : 37 of 60 Marks: 1 (Budgeted Time 1 Min)

Units of Good A per period	Total Utility	Marginal Utility
0	0	0
1	5	5
2	9	4
3	12	3

Answer (Please select your correct option)

☐ Increasing costs.

☐ Decreasing total returns.

☐ Diminishing average returns.

☐ Diminishing marginal utility.

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Question No : 38 of 60 Marks: 1 (Budgeted Time 1 Min)

Total output per period

Y

Answer (Please select your correct option)

☐ Increasing.

☐ Zero.

☐ Falling.

☐ Infinite.

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Question No : 39 of 60 Marks: 1 (Budgeted Time 1 Min)

Cost curves

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Curve A

Curve B

Answer (Please select your correct option)

☐ Average total

☐ Average variable

☐ Marginal

☐ Total

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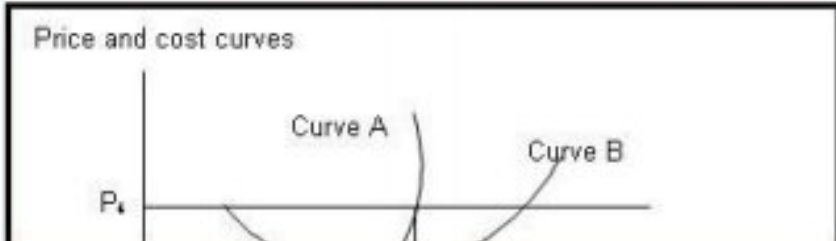
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Question No : 40 of 60 Marks: 1 (Budgeted Time 1 Min)

Price and cost curves



Answer (Please select your correct option)

- ☐ Average cost curve.
- ☐ Marginal revenue curve.
- ☐ Marginal cost curve.
- ☐ Average revenue curve.

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Question No : 41 of 60 Marks: 1 (Budgeted Time 1 Min)

All other things being equal, an increase in government spending will:

Answer (Please select your correct option)

- ☐ Shift the aggregate demand curve to the right.
- ☐ Shift the aggregate demand curve to the left.
- ☐ Make the aggregate demand curve flatter.
- ☐ Make the aggregate demand curve steeper.

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Question No : 42 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following events could cause the aggregate demand curve to shift to the right?

Answer (Please select your correct option)

- ☐ An increase in the rate of inflation.
- ☐ A decrease in government expenditures.
- ☐ A decrease in investment spending.
- ☐ A decrease in income tax rates.

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Question No : 43 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is a benefit of real economic growth to a society?

Answer (Please select your correct option)

- ☐ Everyone enjoys a greater nominal income.
- ☐ The standard of living increases.
- ☐ The burden of scarcity increases.
- ☐ The society is less able to satisfy new wants.

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Question No : 44 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following statements is TRUE about the difference between nominal GDP and real GDP?

Answer (Please select your correct option)

- ☐ Real GDP includes only goods; nominal GDP includes goods and services.
- ☐ Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.
- ☐ Real GDP is equal to nominal GDP less the depreciation of the capital stock.
- ☐ Real GDP is equal to nominal GDP multiplied by the CPI.

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Question No : 45 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is the component of total national investment?

Answer (Please select your correct option)

- ☐ Gross domestic fixed capital formation.
- ☐ Change in stocks.
- ☐ Export less imports.
- ☐ All of the given options.

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Question No : 46 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is required to make the equation of exchange in the quantity theory of money?

Answer (Please select your correct option)

- ☐ Velocity and output are assumed to be constant.
- ☐ The money supply is assumed to be produced by the banking system and not exclusively in currency.
- ☐ The quantity of money is assumed to determine the amount of Real GDP.
- ☐ Money supply and prices are considered constant.

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Question No : 47 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is equal to net exports?

Answer (Please select your correct option)

- ☐ Imports - exports.
- ☐ Domestic consumption - foreign consumption.
- ☐ Exports - imports.
- ☐ Foreign consumption - domestic consumption.

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Question No : 48 of 60 Marks: 1 (Budgeted Time 1 Min)

What is TRUE for a poor country?

Answer (Please select your correct option)

- ☐ The supply of capital is low.
- ☐ The demand for capital is low.
- ☐ Both the supply of and demand for capital are low.
- ☐ Their GDP growth rate is very high.

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Question No : 49 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following shows the functions of money?

Answer (Please select your correct option)

- ☐ A conductor of economic activity, a medium of exchange and a store of value.
- ☐ A medium of exchange, a store of value and a factor of production.
- ☐ A store of value, a medium of exchange and a determinant of investment.
- ☐ A store of value, a unit of account and a medium of exchange.

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Question No : 50 of 60 Marks: 1 (Budgeted Time 1 Min)

What will be the impact of an increase of Rs.1 in government purchases?

Answer (Please select your correct option)

- ☐ It will shift the expenditure line upward by Rs.1.
- ☐ It will shift the IS curve to the right by $Rs.1/(1 - MPC)$.
- ☐ It will not shift the LM curve.
- ☐ All of the given options.

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Question No : 51 of 60 Marks: 1 (Budgeted Time 1 Min)

Why agriculture sector has an important role to play in the development process?

Answer (Please select your correct option)

- ☐ Because a balanced approach to growth is necessary.
- ☐ Because the vast majority of an under developed country is engaged in agriculture.
- ☐ Because agriculture may be a major bottleneck in the process of development.
- ☐ Because of all of the given options.

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Question No : 52 of 60 Marks: 1 (Budgeted Time 1 Min)

If the demand for using gym is price inelastic and your local gym owner increases the fee for using the gym, you would expect:

Answer (Please select your correct option)

- ☐ A decrease in total revenue received by the gym owner.
- ☐ An increase in total revenue received by the gym owner.
- ☐ No change in total revenue received by the gym owner.
- ☐ An increase in the hours that people will spend in gym.

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Question No : 53 of 60 Marks: 3 (Budgeted Time 6 Min)

Discuss the concept of accelerator in your own words.

Answer (Please click here to Add Answer)

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Question No : 54 of 60 Marks: 3 (Budgeted Time 6 Min)

It is said that growth is an important macroeconomic issue. Why? Discuss.

Answer (Please click here to Add Answer)

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Question No : 55 of 60 Marks: 3 (Budgeted Time 6 Min)

Differentiate between international trade and international finance.

Answer (Please click here to Add Answer)

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Question No : 56 of 60 Marks: 5 (Budgeted Time 10 Min)

Explain the difference between endogenous growth model and exogenous growth model.

Answer (Please click here to Add Answer)

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Question No : 57 of 60 Marks: 5 (Budgeted Time 10 Min)

Explain the difference between new Classical and new Keynesian schools of thought.

Answer (Please click here to Add Answer)

100%

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Question No : 58 of 60 Marks: 5 (Budgeted Time 10 Min)

It is well known that the study of national income accounting is highly important from the point of view of economic development of a country. Discuss the importance of national income accounting especially for developing countries like Pakistan.

Answer (Please click here to Add Answer)

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Question No : 59 of 60 Marks: 5 (Budgeted Time 10 Min)

Differentiate between external economies of scale and external diseconomies of scale.

Answer (Please click here to Add Answer)

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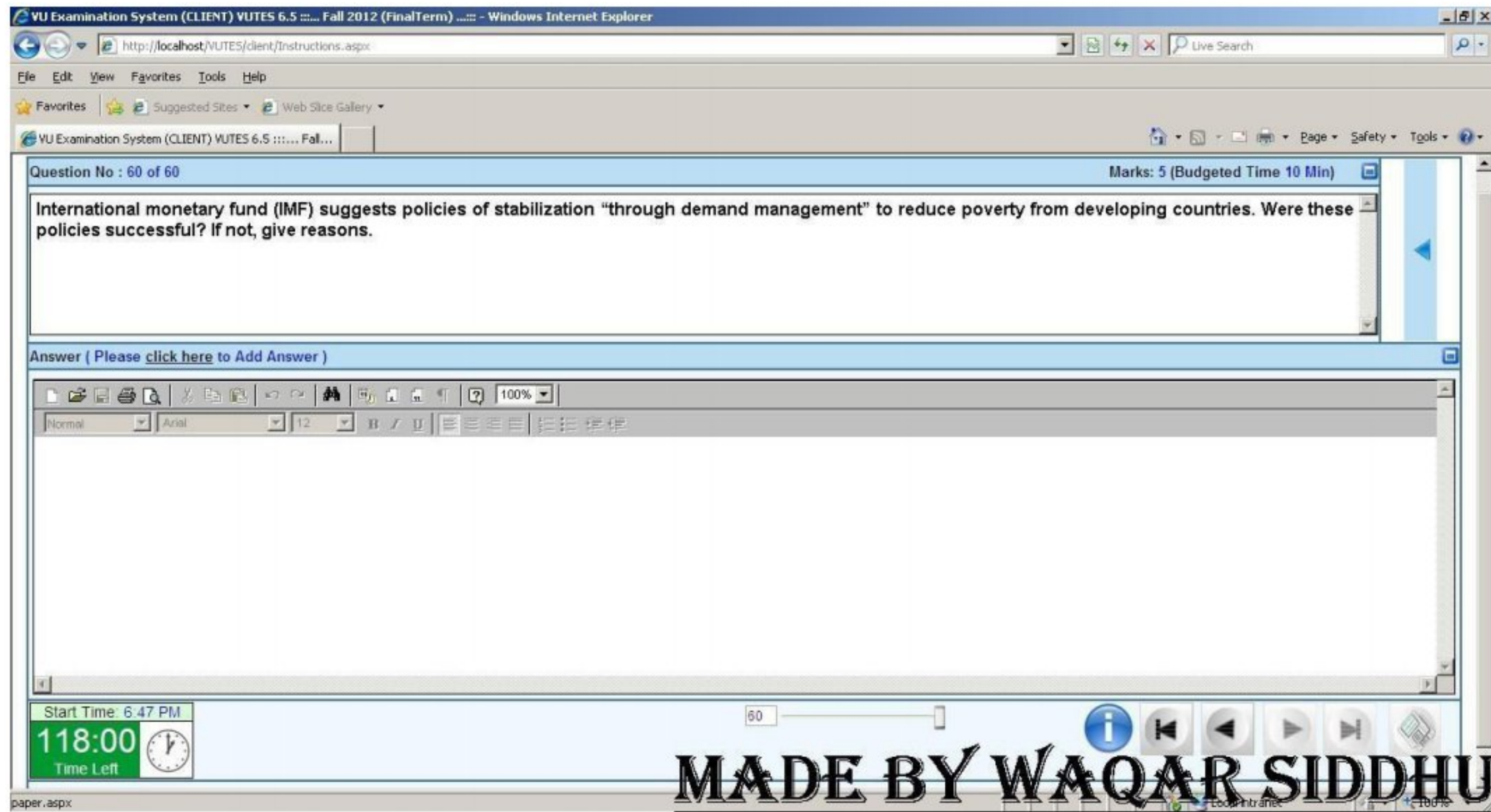
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